American Woodmark Corporation

Submission Date:	February 9th, 2023
Ticker:	AMWD
Exchange:	NASDAQ US
Industry:	Household Durables
Sector:	Consumer Discretionary
Current Price:	$53.63 (as of 1/23/2023)
Target Price:	$58.48
Upside:	9.04%
Recommendation:	HOLD

Figure 1: Valuation Summary

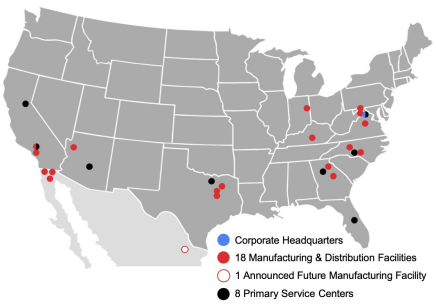
RECOMMENDATION	HOLD
Reference Date	1/23/2023
Current Price	$53.63
12-Month Target Price	$58.48
Upside	9.0%
Industry	Household Durables
Sector	Consumer Discretionary
Ticker	AMWD
Stock Exchange	NASDAQ US
Shares Outstanding	16.62m
Market Capitalization	902.73m
EPS	USD 0.84
52-Week High	60.74
52-Week Low	40.7
Beta	1.5

Figure 2: Investment Thesis



Source: Team Consensus

Figure 3: Facilities



Source: AMWD 10-K

Brief

American Woodmark Corporation (AMWD) is a leader in the household durables industry, focused on manufacturing and distributing kitchen, bath, and home cabinetry products for the remodeling and new home construction markets. With a successful track record and a highly competitive position within their market, we believe AMWD's current equity value lies higher than its current price, but economic uncertainty lowers our confidence in the company's ability to outperform in the future.

Investment Summary

We propose a **HOLD** rating for AMWD with a one-year price target of $58.48, proposing a 9.04% upside potential as of the closing price on January 23rd, 2023. The target price is determined by utilizing a Discounted Cash Flow method (DCF), Analyst Price Targets (Figure 45), in addition to both a Revenue Model and a Relative Valuation model. Furthermore, we placed weights on the various valuation methods to arrive at our price target. Outcomes are guided by AMWD's risks. To construct our investment thesis, we considered these three ideas: (1) AMWD's recession resilient product line, (2) AMWD's expansion of manufacturing capabilities, and (3) headwinds to break into dealer and distributor industry segment.

Recession Resilient Product Line

As part of its new construction revenue channel, AMWD distributes two product lines: in-stock cabinets and made-to-order cabinets. During the Great Financial Crisis, the AMWD's made-to-order product line experienced a 50% decrease in its revenue; however, its in-stock business was only down 20% over that same period. With a pending economic downturn on the horizon, it is expected that AWMD's in-stock and made-to-order product lines will perform similarly as they did during the Great Financial Crisis where the in-stock cabinets product line dramatically outperform the made-to-order cabinets product line.

Expanding Manufacturing Capabilities

In October 2018, AMWD announced the expansion of its manufacturing capabilities with the addition of a fourth facility, which is being built in Mexico, and the expansion of its North Carolina facility. The expansion is expected to cost approximately $65 million in capital. Upon the completion of these expansions (likely April of 2024), AMWD's production capabilities will dramatically increase. With production capabilities approaching an all time high for AMWD, each of the firm's three business segments are well postured to incur a significant upside assuming a strong, nationwide economic recovery in 2024.

Headwinds to Break into Dealer and Distributor Industry Segment

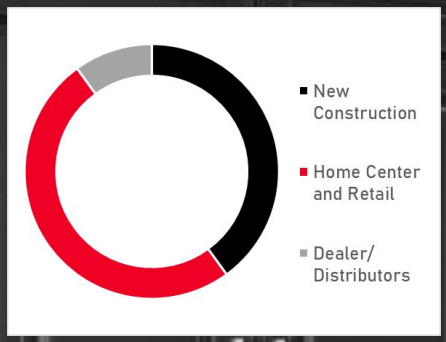
As part of AMWD's corporate strategy outlined by Scott Culbreth, AMWD's CEO, the company is focused on expanding its current market share of two 2% in the dealer and distributor segment. Given their smaller share of the market relative to competitors, the dealer and distributor segment represents AMWD's best opportunity for growth. From a production standpoint, AMWD is well-postured to grow in the dealer and distributor space because of its nationwide service capabilities. However, AMWD's competitors already have a majority of the market share within this space, meaning that AMWD will likely have difficulty breaking into the space. Their best option would be to compete on price to break into this industry segment.

Figure 4: AMWD Geography



Source: AMWD Website

Figure 5: Business Segments



Source: Company Filings

Figure 6: AMWD Strategies



Source: AMWD Website

Figure 7: RSI Acquisition



Source: AMWD Website

Business Description

American Woodmark Corporation is an American-multinational corporation and cabinetry company based in Winchester, Virginia, that operates exclusively in the United States. Primarily specializing in the "sunshine states"(i.e. mainly the lower half of the US), AMWD designs, manufactures, and sells cabinetry, vanities, and related products for kitchens, baths, and offices. The company focuses its distribution on three segments: new construction, home center and retail, and dealer and distributors.

History and Management Team

Founded in Winchester, Virginia, in 1980, AMWD has grown to become a leader in the household durables space in the United States. After the previous CEO retired, Scott Culbreth, formerly the company's CFO, was promoted to CEO in 2020. Since his promotion, Culbreth has led the company to grow its market share across each of its business segments and has set the company on a path to expand its dealer and distributor segment. Other key members of AMWD's management team include Paul Joachimczyk (CFO), who oversees the company's financial strategy, Rob Adams (VP of Operations) who manages the daily operations of the company, and Mark Vierling (VP of Supply Chain) who leads the supply chain management team.

Business Segments and Products

As previously stated, AMWD earns revenue through its three segments–new construction (non-recurring revenue associated with providing goods and services to consumers who are building new homes; 48% of 2022 revenue), home center and retail (non-recurring revenue related to providing consumers with an omnichannel experience via big box stores such as Home Depot or Lowe's; 39% of 2022 revenue), and dealer and distributors (non-recurring revenue associated with providing consumers with cabinetry through trusted, specialty vendors; 13% of 2022 revenue). Through its three segments, AMWD offers two products via its three segments: in stock-cabinets (cabinets that can be found on the shelves in stores) and made-to-order specialty cabinets (cabinets that allow consumers to personalize their orders). AMWD does not operate in the semi-custom or custom cabinet market due to the volatility associated with those product lines.

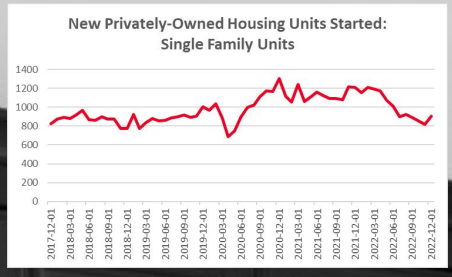
Company Strategy

The company's corporate strategy is focused on growth, digital transformation, and platform design. More specifically, the company is moving from their dated ERP systems to a digital cloud and is overall working to make it easier for consumers to buy and design their products. For example, AMWD invested in software that can visualize cabinets in kitchen, office, and bath spaces to allow consumers get a better idea of how a given product from online might look in their home before purchasing.

Acquisition of RSI Home Products

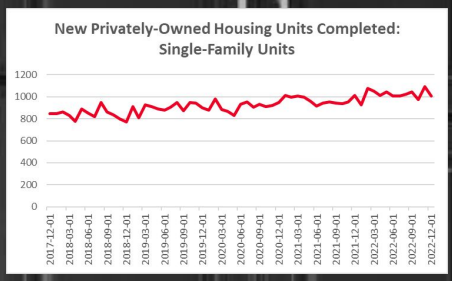
In December 2017, AMWD finalized its acquisition of RSI Home Products, a peer in the household durables space. To complete the acquisition, AMWD issued 1,457,568 new shares of its common stock, paid approximately $354 million in net cash, and took on roughly $589 million of RSI's debt. With the completion of the RSI acquisition, AMWD gained an important new product offering: made-to-stock cabinets, which is a recession-resilient product line, given how consumers tend to gravitate towards cheaper options in an economic downturn.

Figure 8: Housing Starts (5 Years)



Source: U.S. Bureau of Labor Statistics

Figure 9: Housing Completions (5 Years)



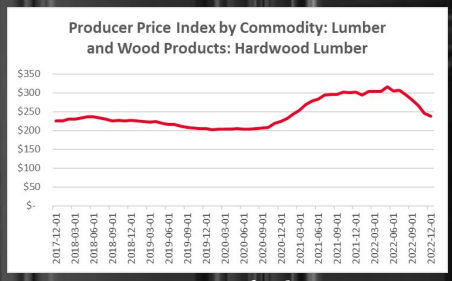
Source: U.S. Bureau of Labor Statistics

Figure 10: Existing Homes (1 Year)



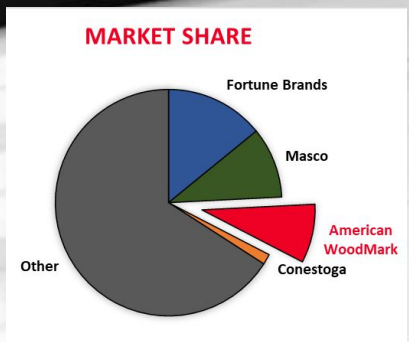
Source: U.S. Bureau of Labor Statistics

Figure 11: Hardwood Index (5 Years)



Source: U.S. Bureau of Labor Statistics

Figure 12: AMWD Market Share



Source: IBISWorld

Industry Overview

The household durables industry is very cyclical, sensitive to several macroeconomic indicators such as GDP, interest rates, and inflation, variables over which any one competitor in the industry has little control. Within the household durables industry, according to IBIS World, the cabinet & vanity manufacturing sub industry generates $17.1 B in revenue annually. The market consists of kitchen cabinets, custom cabinets, countertops, bathroom vanities, and other accessories.

Demand Drivers

Housing

The cabinet industry and, therefore, AMWD are particularly sensitive to changes in the U.S. housing market. A recent AMWD investor relations presentation outlines repair and remodeling spending from 1996A to 2023E, having an ~5% CAGR during this period. Additionally, commentary on demographics from the CFO suggests favorable residential investment from millennial and Gen X homeowners. According to comments made by the CFO during the CFA Q&A Presentation, the average age of homes is increasing across the United States, which is a tailwind for the repair and remodeling space because as houses get older consumers are more likely to renovate.

Interest Rates

Considering the industry's housing sensitivity, interest rates should drive demand for repair and remodeling spending. Recent efforts from the Federal Reserve to increase the federal funds rate should have a negative impact on repair and remodeling spending. This should be the case because of less housing activity due to the FFR passing through to mortgage rates and generally poor economic conditions. Additionally, homeowners should have less equity in their homes to remodel because of increasing borrowing costs subduing home prices.

Supply Drivers

Hard Lumber

Per AMWD management, hard lumber is one of the key inputs for AMWD in producing its cabinets. According to CFA Q&A Presentation with AMWD's CFO and Figure 11, hard lumber prices increased significantly during the pandemic but have more recently leveled off. Additionally, using soft lumber spot prices (Figure 35) as another rough proxy, it appears that there remains volatility, which creates some uncertainty on the supply side.

Labor

AMWD has over 10,000 employees, and the cabinet industry is particularly labor-intensive. During the COVID-19 pandemic, the labor market was particularly tight, making it challenging for AMWD to retain workers during this period, according to an earnings call transcripts. These facts point to a supply driver in the cabinet industry is the ability to find and retain employees. Despite efforts from the Federal Reserve to slow the economy, the Bureau of Labor Statistics (BLS) recently reported a 3.4% unemployment rate, illustrating that the labor market is still generally tight.

Competitive Positioning

Per IBIS World, AMWD maintains 8.4% of the market share within the cabinet & vanity manufacturing sub industry and is based in Winchester, Virginia. AMWD is well positioned, ranking third within this space behind Fortune Brands (14.1%) and Masco Corporation (10.2%). American WoodMark can consistently keep a competitive stance by holding a market share of 31% in Home Center and Retail and 17% in New Construction. However, AMWD has relatively weak positioning in Dealer/Distributor, holding only a 2% market share.

Figure 13 : Industry ESG Guideline

Product Lifecycle Environmental Impacts	
Product Design & Lifecycle Management	addresses incorporation of environmental, social, and governance (ESG) considerations in characteristics of products and services provided or sold by the reporting entity
Supply Chain Management	addresses management of ESG risks within a reporting entity's supply chain
Materials Sourcing & Efficiency	addresses issues related to the resilience of materials supply chains to impacts of climate change and other external environmental and social factors

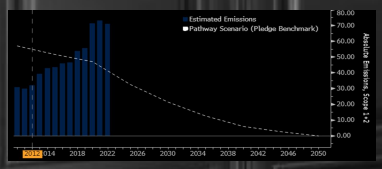
Source: SASB

Figure 14 : GHG Emissions Rules

GHG Emissions	
Scope 1	The Green House Gas (GHG) emissions that a company makes directly
Scope 2	Emissions it makes indirectly
Scope 3	All emissions associated, including carbon emissions from the extraction, manufacture, and processing of the raw matierals

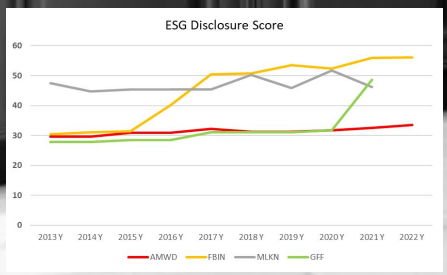
Source: SASB

Figure 15 : Estimated Emissions vs. 2050 Net Zero Scenario



Source: Bloomberg

Figure 16: ESG Disclosure Scores vs. Peers



Source: Bloomberg

Environmental, Social, Governance

AMWD takes a distinct approach to ESG by focusing on what matters to the company and its customers as opposed to focusing on the criteria used by ESG rating agencies. As noted by AMWD's CFO during the CFA Q&A Presentation, AMWD encourages consumers and investors alike to refer to ISS Agency for ESG ratings. In terms of ISS Agency's ratings, they rate companies on a scale of 1 to 10, with 10 being least ideal ESG score. According to ISS Agency, AMWD received an environmental score of 8, a social score of 5, and a governance score of 5. AMWD has been improving on the Social aspects, however, lagging on the Environmental aspect. Given the nature of the company's product line, we expect the Company to be similarly rated in the future unless the company makes drastic change to its ESG policies.

Environmental

AMWD's environmental ratings include Greenhouse Gas (GHG) emissions, product design & Lifecycle management, supply chain management, and materials sourcing & efficiency (Figure 13). To address their carbon footprint, AMWD HQ set goals for reducing fossil fuels and the greenhouse gas generated during their operations..

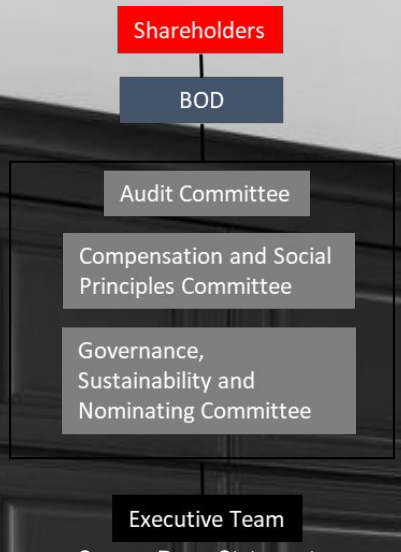
AMWD's total emissions fell from 448.35 k MTCO2e to 346.13 k MTCO2e, a 77.2% decrease (k MTCO2e = metric tons of carbon dioxide equivalent, a unit to represent amount of GHG). Within the emissions, as outlined in Figure 14, the Scope 1 and 3 emissions fell by 6.6% and 81.0%, respectively, YoY. EVIC (Enterprise Value including Cash) emission is a common metric to assess GHG emissions in the environmental aspect. Both total GHG Emissions/EVIC and Scope 3 GHG/EVIC have fallen 66.9% and 72.3%, respectively. Even though Scope 2 and 3 GHG/EVIC increased 35.9% and 46.4% YoY. Additionally, to improve energy efficiency, AMWD is implementing more efficient, and therefore less harmful to the planet, manufacturing and equipment designs such as: skylights, LED lights, and air compressor management systems. Moreover, AMWD's CEO signed their Environmental Stewardship Policy (Figure 49), where the Firm outlined policies to improve their carbon footprint. However, the Company has not announced plans to set a zero emissions target. AMWD has a lower ESG disclosure score than its peer companies, specifically Fortune Brands Innovations Inc, MillerKnoll Inc, and Griffon Corporation. Having said that, AMWD. Therefore, more information and detailed guidelines are necessary to improve the environmental aspect of AMWD.

Social

AMWD's emphasis on social responsibility includes four major categories: Culture & Core Values, Recruiting & Training, Safety, and Diversity & Inclusion.

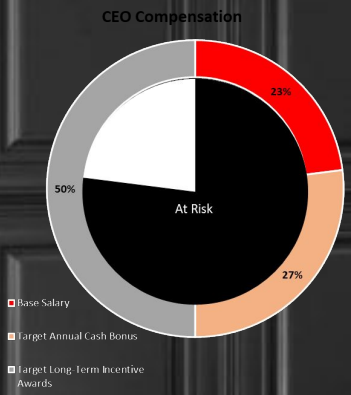
The Culture & Core Values of AMWD are accompanied by principles of Customer Satisfaction, Integrity, Teamwork, and Excellence (CITE). AMWD created the American Woodmark Foundation, which has given over $7 million since its inception in 1995. The Recruiting & Training principle is strongly related to the Safety principle. With training in cultural, safety, onboarding, supervisory, and leadership development, the Company rate of incidents recordable under the standards of OSHA was 1.44 during FY 2021. Company leadership continues to monitor its safety programs. AMWD has also included a detailed policy on human rights.

Figure 17: Governance Structure



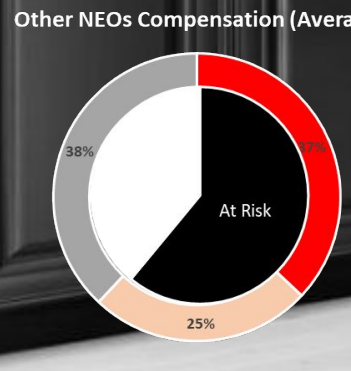
Source: Proxy Statement

Figure 18: Executive Compensation Structure



Source: Proxy Statement

Figure 19: NEO Compensation Structure



Source: Proxy Statement

Governance

AMWD has consistent and sustainable governance structure. The governance responsibility includes executive compensation, board of directors, and shareholder structure.

Executive Compensation

The compensation of the CEO and other senior executive officers is continuously reviewed and evaluated by the Compensation and Social Principles Committee to align with the purposes and better allocate the Company resources. The compensation is performance-based with a focus on the company (the business's overall performance is more important than the individual performance). The compensation program of FY2022 consisted of base salary, annual performance-based cash bonus, annual employee profit sharing, and retirement and health and welfare benefits. The CEO and other NEO's compensation structures are listed in Figures 18 and 19. This compensation structure is similar to AMWD's peer companies, such as Fortune Brands Innovations.

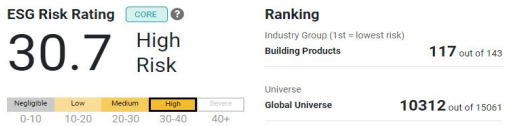
Board of Directors

Among AMWD's nine directors, 89% are independent directors, 33% are female, and 22% are of minority representation. There is a separation between Board Chair Vance W. Tang and CEO Scott Culbreth. AMWD has an Audit Committee, Compensation and Social Principles Committee, and Governance, Sustainability, and Nominating Committee to improve the governance aspect of operations further.

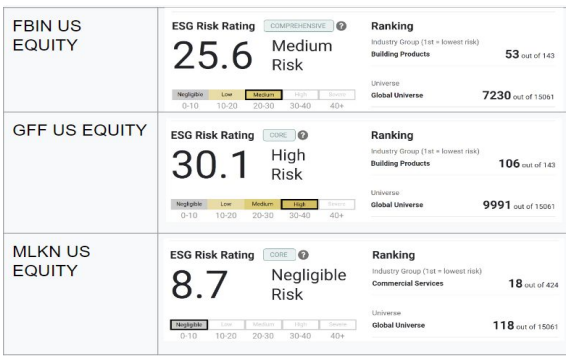
Shareholder Structure

The Company has 93.97% institutional ownership and 2% insider ownership, the largest being BlackRock Inc and Vanguard Group Inc. AMWD's CEO is one of the top insiders with 0.29% ownership, indicating shareholder interest alignment. Each share of common stock is entitled to one vote for the voting structure, which might cause concerns about letting institutions have a majority of the voting power.

Peer Comparison



Source: Morningstar Sustainalytics



Source: Morningstar Sustainalytics

With all the efforts and continuous attention on ESG, AMWD is set to have better outcomes in the future. However, as of FY 2022, AMWD is lagging on the ESG risk rating. According to MorningStar Sustainalytics, AMWD has a ESG Risk rating of 30.7, being one of the high risk companies. The Company's ESG performance is worse than its peers in the industry, such as Fortune Brands Innovations Inc, MillerKnoll Inc, and Griffon Corporation.

Figure 20.A: Top 10 Institutional Owners

INSTITUTIONS	
BlackRock Inc	16.43%
Vanguard Group Inc/T	8.60%
Cooke & Bieler LP	7.45%
Dimensional Fund Adv	5.91%
Pzena Investment Management	5.20%
Broad Run Investment	5.01%
Wellington Management	4.89%
Hennessy Advisors In	3.82%
State Street Corp	3.57%
WCM Investment Management	2.89%

Source: Bloomberg

Figure 20.B: Top 5 Individual Owners

Holder Name	
Tang Vance	0.36%
Culbreth Michael	0.35%
Hayes Martha	0.29%
Davis James	0.16%
Adams Robert	0.14%

Source: Bloomberg

Figure 21: DCF Scenario Analysis

Scenario Analysis Summary		
Scenario	DCF Implied Share Price	Premium
Bull Market Scenario	$73.01	36.1%
Base Scenario	$58.48	9.0%
Bear Market Scenario	$47.00	-12.4%

Source: Team Consensus

Financial Analysis

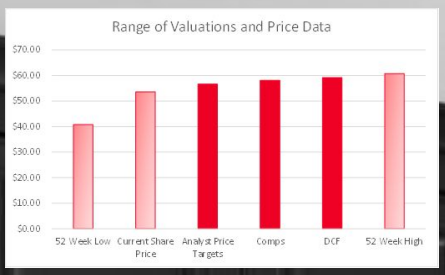
Revenue Breakdown

Given AMWD's business structure, we separately forecast revenue for its each of its segments: new construction, home center and retail, and dealer and distributor. Starting with the company's 2023FY, revenue is expected to increase across all three segments of the company. Moreover, with the dealer and distributor segment is expected to have the highest YoY revenue growth rate in 2023FY since the firm has stated their goal to and the steps necessary to gain more market share in the dealer/distributor space. In AMWD's 2024FY, revenue is expected to fall somewhat sharply across all three of the company's segments. During AMWD's 2024FY, interest rates are expected to peak (Figure 47); however, the impact of inflation will persist given how it lags changes made to the Fed Funds Rate. Over this same period, the new construction segment's revenue is expected to be impacted the most negatively, as compared to the company's other segments, due to its higher sensitivity to the macroeconomic environment. Additionally, in line with guidance provided by the CFO, the home center and retail segment will perform the best relative to the other two segments in the event of a macroeconomic downturn given the recession resilient nature of the company's in-stock cabinet line. Due its low-cost, customers gravitate towards the company's in-store cabinet line during downturns when less discretionary income is available to the average consumer, which makes the home center and retail segment the most well postured to weather a potential macroeconomic downturn. For AMWD's 2025FY, it is expected that the firm will enjoy strong revenue growth across each of its segments catalyzed by the combination of the expected completion of the company's efforts to expand manufacturing capabilities and the macroeconomic recovery expected to occur during this period. Following AMWD's 2025FY, revenue is not expected to enjoy the same growth as projected for the company's 2024FY. Rather, revenue growth will taper off across all three revenue segments until AMWD's 2030 FY. AMWD's sales have a meaningful correlation with the demand drivers that were stated previously.

Scenario Analysis

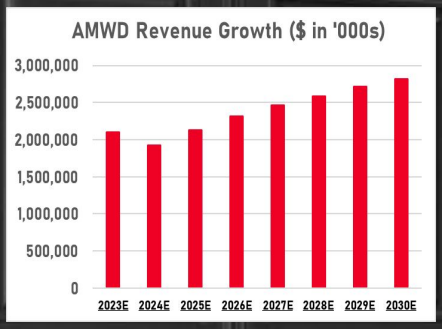
We next conducted a scenario analysis consisting of three scenarios: a bull market market scenario, a base market scenario, and bear market scenario, and varying AMWD's revenue growth rates by segment. The bull scenario, where consumers actually start buying homes, yields a 12-month implied share price of $73.01 with a 36.13% upside relative to AMWD's close on 1/23/2023. The base scenario is used to inform our valuation throughout this report, so further detail is not necessary. Lastly, the bear scenario yields a 12-month implied share price of $47.00 with a -12.36% downside relative to AMWD's close on 1/23/2023.

Figure 22: Valuation and Price Data



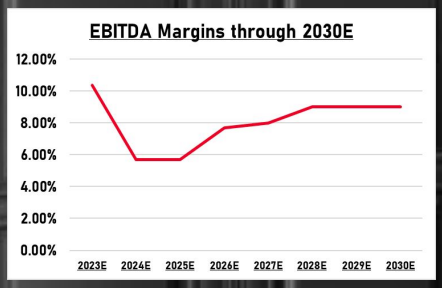
Source: Bloomberg, Finviz, Team Consensus

Figure 23: Revenue Growth



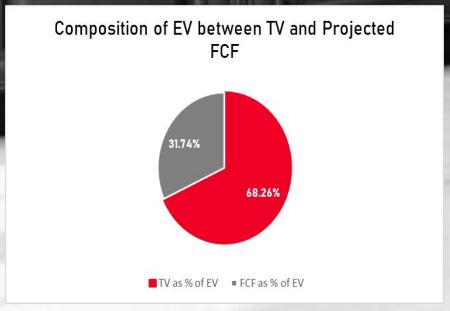
Source: Team Consensus

Figure 24: EBITDA Margins



Source: Team Consensus

Figure 25: EV Decomposition



Source: Team Consensus

Valuation

Our team used a DCF (Figure 41), Relative Valuation (Figure 48), and Analyst Price Targets (Figure 44) to form a price target of $58.48, serving as a key basis for our HOLD rating for AMWD. The team believes that because the price target reached is within 10% of the current share price, a HOLD rating is the most conservative approach.

DCF Analysis

We performed a discounted cash flow analysis using AMWD's free cash flows to the firm (FCFF). The analysis annually projects cash flows through 2030 before reaching a terminal value of growth past 2031. We assume a WACC of 7.30%. We chose an eight year projection period because it allows us to model a likely challenging period for AMWD's business while also capturing the later growth potential of the dealer channel of revenue. Our analysis gives an implied price per share of **$59.20**, summarized in the below table:

Implied Equity Value Calculation	
Sum of PV of FCF	467,654
EBITDA Exit Multiple	5.50x
TV	1,705,740
PV of TV	1,005,576
EV	1,473,230
TV as % of EV	68.26%
Less: Debt	(511,553)
Less: Preferred Stock	0
Less: NCI	0
Plus: Cash	22,325
Implied Equity Value	984,002
Shares Outstanding	16,622
Implied Share Price	59.20
Share Price	53.63
Premium (Discount)	10.38%

Our terminal value used a 5.50x EV / EBITDA exit multiple assumption. We reached this assumption from both Relative Valuation (Figure 26) and the team's viewpoints on future market conditions in the household durables industry. The terminal value reflects approximately 70% of our enterprise value (Figure 25). Considering the cyclicality of the household durables industry, placing such a large portion of the company's value past the projection period causes some concern, supporting our HOLD rating.

Sensitivity Analysis

We performed sensitivity analysis by adjusting WACC by 0.5% from 6.30% to 8.30%. Similarly, we vary the EV / EBITDA exit multiple in 0.5x increments from 4.50x to 6.50x. The below table highlights a wide span of price targets, ranging from $43.27 to $77.12. Our DCF appears far more sensitive to our exit multiple assumptions, rather than the WACC.

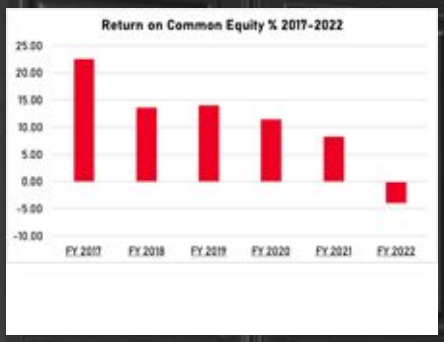
EV / EBITDA Exit Multiple and WACC Sensitivity Analysis					
	4.50x	5.00x	5.50x	6.00x	6.50x
6.30%	$53.52	$59.42	$65.32	$71.22	$77.12
6.80%	$50.81	$56.50	$62.20	$67.90	$73.59
7.30%	$48.20	$53.70	$59.20	$64.70	$70.20
7.80%	$45.69	$51.00	$56.31	$61.62	$66.93
8.30%	$43.27	$48.40	$53.53	$58.66	$63.79

Figure 26: Comps Summary

Relative Valuation	EV/EBITDA	P/E
AMWD Mutiple 2023	**5.49**	**7.36**
Comps Average	6.29	10.34
Comps Median	6.41	10.26
Enterprise Value	$1280.81m	
Implied Share Price	**$44.38**	**$71.89**
Average Implied	**$58.13**	
Current Share Price	$53.63	

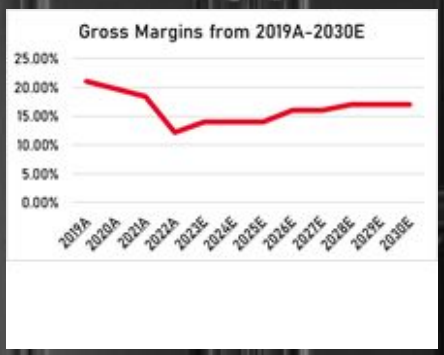
Source: Bloomberg

Figure 27: Return on Equity



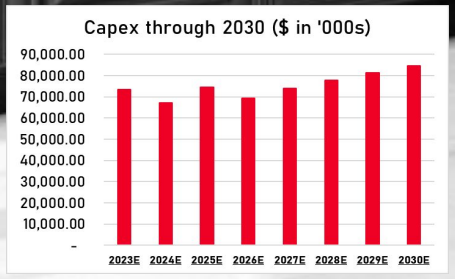
Source: Bloomberg

Figure 28: Gross Margins



Source: Company filings, Team Consensus

Figure 29: Capex



Source: Team Consensus

Relative Valuation

We construct our relative valuation model based on ten peer companies similar to AMWD. For 2023E, AMWD has an EV/EBITDA multiple of 5.49 and an EV/EBIT multiple of 7.99. Both ratios are higher than home renovation and construction firms but lower than the cabinet producer peer group. This suggests that AMWD is an attractive investment opportunity among cabinet producer peers. We used forward P/E instead of trailing P/E, because we believe forward P/E multiple analysis will provide a more normalized valuation metric for AMWD and companies in the peer group. When calculating an implied share price based on EV/EBITDA multiples, the assumed capital structure is consistent with our WACC analysis. The analysis results in an average implied price of $58.13 per share. Using EV/EBITDA and P/E multiples, we obtain average implied share prices of $44.38 and $71.89, respectively. We equally weight all peer groups in our analysis to account for AMWD's similarity and exposure to the operations of all these firms. The valuation of $58.13 per share is 8.39% higher than the share price of $53.63 per share (as of 1/23/2023), consistent with the HOLD recommendation.

		2023 EV/EBITDA		2023 P/E		2023 EV/EBIT		2023 EV/Sales	
Peer Group	# of peers	Average	Median	Average	Median	Average	Median	Average	Median
Cabinet Producer	4	7.6	7.93	10.82	10.66	9.55	9.36	0.9	0.94
Home Renovation & Constructic	4	4.82	4.83	11.33	11.23	5.77	6.26	0.77	0.7
Other related	2	6.46	6.46	8.88	8.88	11.01	11.01	0.83	0.83
Overall		6.29	6.41	10.34	10.26	8.78	8.88	0.83	0.82
AMWD 2023 Mutiple		**5.49**		**7.36**		**7.99**			
Implied target price		**44.38**		**71.89**					
Average Implied Price		**58.13**							

Margins

AMWD is a relatively low-margin business, and COGS levels most strongly contribute to this aspect of AMWD. AMWD was particularly sensitive to cost pressures associated with closed-off supply chains and a tight labor market. Increases in hard lumber commodity prices (for which data is not generally available) strongly drive costs. The team anticipates that monetary tightening from the Federal Reserve and the opening of supply chains internationally will improve COGS and gross margins in the near and long term to historical levels. However, despite improvements in these figures, we anticipate such actions by the Federal Reserve will likely hurt AMWD on the demand side. Therefore, we model out less optimistic figures for total gross profit earned during our model's projection period.

Capital Investments

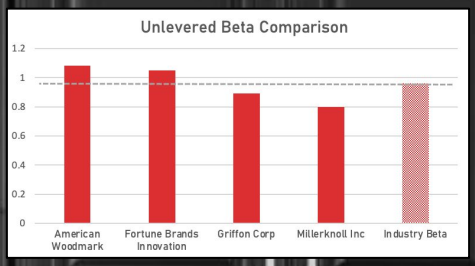
Per conversations with management, we anticipate elevated capital expenditures directed toward ERP investments and increasing capacity for the next upswing in the economic cycle. Although the team expects challenging economic conditions in the near term, we appreciate management's long term outlook on the business and factor this into our future revenue growth assumptions. On the other hand, we are left with questions about the extent to which ERP investments will continue. We are also curious about how such investments will improve the business in terms of revenues and costs. Nonetheless, we model capital expenditures to have a relatively sizeable, negative impact on near term free cash flows.

Figure 30: Net Debt / EBITDA



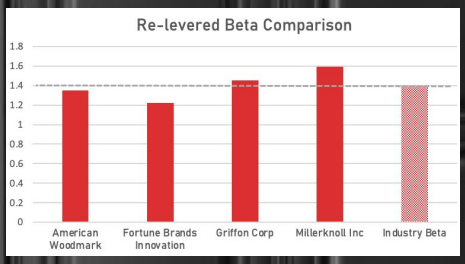
Source: Bloomberg

Figure 31: Unlevered Beta Comparison



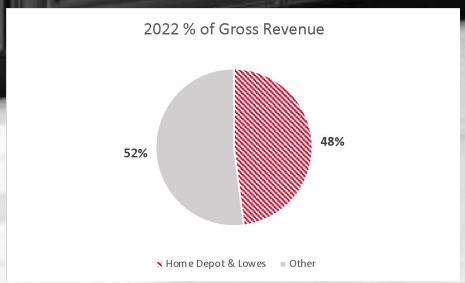
Source: Bloomberg

Figure 32: Re-levered Beta Comparison



Source: Bloomberg

Figure 33: Customer Base Pie Chart



Source: AMWD 2022 10-K

Leverage

AMWD has made a clear commitment to reducing leverage after acquiring RSI. Per our understanding from conversations with management and public filings, the company targets a net debt to EBITDA ratio at or below 2.0x. We accordingly model debt repayments in our 3-statement model. Such actions position the company well for challenging economic conditions. Additionally, though, we suspect such capital structure decisions give the company the flexibility to make future strategic plays. Such strategic plays may make sense in the dealer and distributor channel. The company has communicated interest in increasing market share in this area, currently at levels that are not material to the business.

WACC

Input	Rate	Source
Risk-free Rate	3.51%	10-yr Treasury Note
Beta	1.35	Re-levered and Risk Adjusted
Market Expected Return	8.20%	S&P 500 Index
Cost of Equity	9.86%	CAPM
Pre-tax Cost of Debt	5.48%	Risk-free + Credit Spread
Effective Tax Rate	25.1%	AMWD 2022 Q3 10-Q
Capital Structure	Equity = 55.7% Debt = 42.4%	Bloomberg
WACC	**7.31%**	

Our team estimates a Weighted Average Cost of Capital of 7.31% for AMWD. Using five years of historical monthly returns for the S&P 500 and AMWD, we computed an adjusted beta and re-levered it using an industry beta composed of comparable companies. The risk premium was calculated using the 10-year U.S. Treasury Note yield and the S&P 500 Index returns over the past fifty years. To calculate the cost of debt, we used AMWD's latest credit rating of Ba2 issued by Moody's and applied an appropriate credit spread to the risk-free rate. It is important to note that Moody withdrew their credit rating of Ba2 in April 2021 after the full redemption of their publicly issued outstanding debt. We decided that it was practical to take a conservative approach to future issuance of debt and assume AMWD would maintain the same credit rating in the near future. The company's latest quarterly report published an effective tax rate of 25.1% which was used in the calculation of WACC.

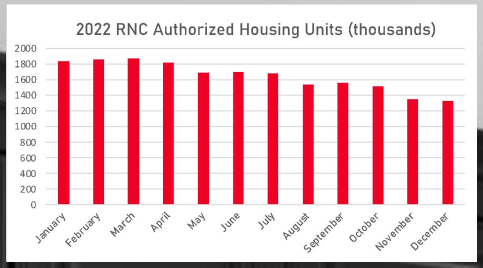
Risks

Concentrated Customer Base

According to AMWD's 2022 10-K, approximately 48% of its gross revenue comes from two customers: Home Depot and Lowe's. If these customers decrease inventory and limit their purchase orders, AMWD will be impacted much worse than less concentrated companies in the household durables industry. The company's heavy reliance on these home centers makes them a riskier company to invest in during periods of economic uncertainty with little comparative upside in economic prosperity.

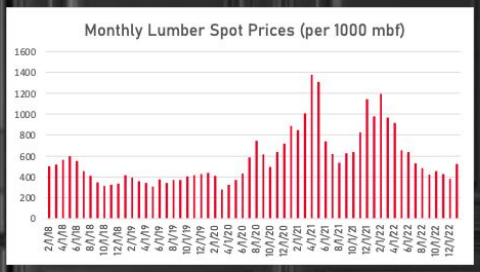
Probability: Low; Impact: High

Figure 34: Housing Starts



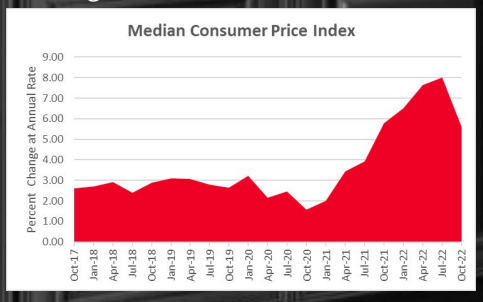
Source: U.S. Census Bureau

Figure 35: Lumber Spot Prices



Source: NASDAQ

Figure 36: CPI Index (5 Years)



Source: U.S. Bureau of Labor Statistics

New Construction

According to the US Census Bureau's Residential New Construction (RNC) report for December 2022, the number of housing units authorized by building permits across the United States dropped by approximately 500,000, or 29.9% YOY. With new construction composing close to 40% of AMWD's gross revenue, a continued downward trend in RNC permits will significantly lower demand for the company's products and reduce net income.

Probability: Moderate; Impact: Moderate

Lumber Commodity Spot Prices

Given AMWD's high dependency on suppliers for raw materials, an increase in both the spot prices and lumber futures contracts may threaten company margins. Without backward vertical integration, AMWD has relatively low bargaining power and may be forced to pay the asked price for this commodity. Although the spot price of lumber has generally retreated from its high in 2021, uncertain economic conditions and environmental pressures might drive the lumber price up in the upcoming years.

Probability: Moderate; Impact: Low

Low Market Share in High-Growth Dealer/Distributor Channel

AMWD showed impressive year-over-year growth of 41.1% in the dealer/distributor channel during the first half of their 2023 fiscal year, but they continue to command a low share of this market. Composing approximately 2% of this channel, it may be difficult for AMWD to expand without offering incentives to new dealers, such as rebates and lower sales prices. Another potential risk that AMWD faces is rapid growth of the dealer/distributors it does business with. As their percentage of AMWD's gross revenue increases, they gain substantial purchasing power over the company.

Probability: Moderate; Impact: Low

Macroeconomic Climate

With the consistent presence of inflation driving the Federal Reserve to raise interest rates over the past year, it has become much more costly for customers to borrow capital from banks to build/remodel their homes. Therefore, it can potentially become very difficult for AMWD to pass on rising material costs to their customers through price increases. Although inflation currently appears to be plateauing, the Fed may keep interest rates high in the long-run to help bring inflation down to its target of 2%. In these situations, consumers tend to shift from higher quality products to more cheap alternatives which have lower margins for the producer.

Probability: High; Impact: High

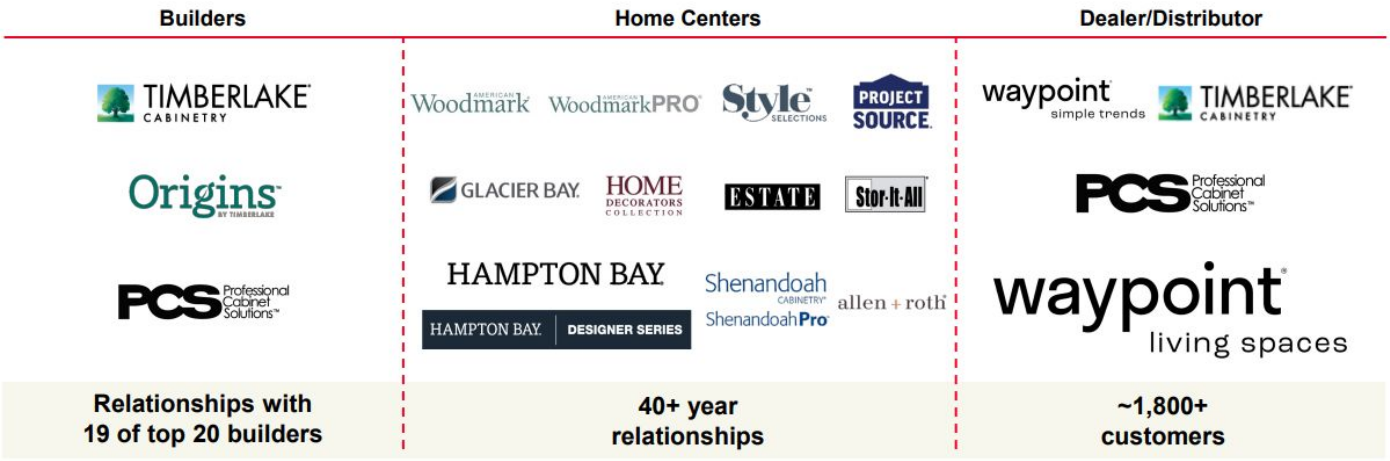
Appendix

Figure 37: Leadership Team

Name	Position	Since	Year Joined AMWD
Scott Culbreth	President & Chief Executive Officer	2020	2014
Paul Joachimczyk	Senior Vice President & Chief Financial Officer	2020	2019
Rob Adams	Senior Vice President, Manufacturing & Technical Operations	2012	2012
Mark Vierling	Vice President & Chief Supply Chain Officer	2023	2023
Joel Charlton	Vice President & General Manager, New Construction	2022	2022
Kim Coldiron	Vice President & Chief Human Resources Officer	2021	2021
Dwayne Medlin	Vice President, Remodel Sales	2023	2011
Bill Waszak	Vice President & Chief Information Officer	2019	2019

Source: Investor Presentation, LinkedIn

Figure 38:Leading Brands



Source: Investor Presentation

Appendix

Figure 38: Income Statement – Base Case

Fiscal Years Ending April 30,

($ in thousands)	2019A	2020A	2021A	2022A	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E
Total Revenue	1,645,319	1,650,333	1,744,014	1,857,186	2,100,356	1,922,807	2,131,039	2,313,857	2,466,504	2,589,947	2,713,483	2,822,023
% Growth		0.30%	5.68%	6.49%	13.09%	-8.45%	10.83%	8.58%	6.60%	5.00%	4.77%	4.00%
COGS	(1,298,846)	(1,323,771)	(1,421,896)	(1,630,742)	(1,806,306)	(1,653,614)	(1,832,693)	(1,943,640)	(2,071,864)	(2,149,656)	(2,252,191)	(2,342,279)
Gross Profit	**346,473**	**326,562**	**322,118**	**226,444**	**294,050**	**269,193**	**298,346**	**370,217**	**394,641**	**440,291**	**461,292**	**479,744**
G&A	(112,917)	(113,353)	(112,521)	(97,547)	(133,559.89)	(128,038.10)	(141,904.08)	(154,077.82)	(156,842.95)	(164,692.59)	(172,548.13)	(179,450.06)
Selling and Marketing	(89,875)	(83,092)	(89,011)	(92,555)	(108,088.23)	(98,951.22)	(109,667.21)	(119,075.40)	(126,930.91)	(133,283.51)	(139,640.90)	(145,226.53)
Restructuring Charges, Net	(1,987)	18	(5,848)	(183)	-	-	-	-	-	-	-	-
Operating Income	**141,694**	**130,135**	**114,738**	**36,159**	**52,402**	**42,204**	**46,774**	**97,064**	**110,867**	**142,315**	**149,103**	**155,067**
D&A	94,446	98,513	100,289	96,606	73,512.46	67,298.24	74,586.35	80,985.00	86,327.65	90,648.16	94,971.91	98,770.79
EBITDA	**236,140**	**228,648**	**215,027**	**132,765**	**125,914**	**109,502**	**121,361**	**178,049**	**197,195**	**232,963**	**244,075**	**253,838**
Interest Expense	(35,652)	(29,027)	(23,128)	(10,189)	(30,314.67)	(29,852.56)	(29,827.74)	(29,492.69)	(29,432.39)	(28,832.39)	(28,232.39)	(27,632.39)
Pension Settlement, Net	-	-	-	(68,473)	-	-	-	-	-	-	-	-
Other income (expense), net	4,846	(2,180)	(10,917)	(476)	-	-	-	-	-	-	-	-
EBT	**110,888**	**98,928**	**80,693**	**(42,979)**	**22,087**	**12,351**	**16,946**	**67,571**	**81,435**	**113,483**	**120,871**	**127,435**
Taxes	(27,200)	(25,275)	(19,500)	13,257	(4,638.31)	(2,593.71)	(3,558.76)	(14,189.98)	(17,101.25)	(23,831.35)	(25,382.86)	(26,761.33)
Tax rate	24.53%	25.55%	24.17%	-30.85%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%
Net Income	**83,688**	**73,653**	**61,193**	**(29,722)**	**17,449**	**9,757**	**13,388**	**53,381**	**64,333**	**89,651**	**95,488**	**100,674**

Source: Company Filings, Team Consensus

Figure 39: Balance Sheet

Fiscal Years Ending April 30,

($ in thousands)	2019A	2020A	2021A	2022A	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E
Assets												
Cash and cash equivalents	57,656	97,059	91,071	22,325	47,918.70	65,407.89	37,248.79	51,432.93	82,374.15	127,639.04	181,754.81	242,859.93
Investments - certificates of deposits	1,500	-	-	-	-	-	-	-	-	-	-	-
Customer receivables, net	125,901	106,344	146,866	156,961	162,612.51	148,866.40	164,987.99	179,142.06	190,960.22	200,517.35	210,081.67	218,484.94
Inventories	108,528	111,836	158,167	228,259	234,819.80	173,319.12	192,088.83	203,717.43	217,156.85	225,310.48	236,057.38	245,499.68
Income taxes receivables	1,009	-	-	-	-	-	-	-	-	-	-	-
Prepaid expenses and other	11,441	9,933	13,861	21,112	14,580.48	13,347.95	14,793.47	15,689.04	16,724.05	17,352.00	18,179.66	18,906.84
Total Current Assets	306,035	325,172	409,965	428,657	459,931	400,941	409,119	449,981	507,215	570,819	646,074	725,751
PP&E, Net	208,263	203,824	204,002	213,808	241,113	266,109	293,813	312,323	332,056	352,775	374,483	397,059
Operating lease right of use assets	-	127,668	123,118	108,055	144,319.42	132,119.68	146,427.68	158,989.49	169,478.16	177,960.17	186,448.55	193,906.49
Customer relationships intangibles, net	213,111	167,444	121,778	76,111	75,574.79	59,572.20	55,368.42	48,549.11	39,419.41	28,442.53	16,231.77	2,770.93
Trademarks, net	5,555	2,222	-	-	-	-	-	-	-	-	-	-
Goodwill, net	767,612	767,612	767,612	767,612	767,612.00	767,612.00	767,612.00	767,612.00	767,612.00	767,612.00	767,612.00	767,612.00
Promotional displays, net	13,058	13,966	14,554	12,565	16,545.41	15,146.78	16,787.11	18,227.25	19,429.71	20,402.13	21,375.27	22,230.28
Deferred income taxes	773	915	1,118	1,469	1,289.77	1,180.74	1,308.61	1,420.87	1,514.61	1,590.41	1,666.27	1,732.92
Other assets	15,524	13,983	12,252	24,219	19,939.71	18,254.15	20,230.99	21,966.58	23,415.73	24,587.64	25,760.42	26,790.84
Total Assets	1,529,931	1,622,806	1,654,399	1,632,496	1,726,325	1,660,936	1,710,667	1,779,070	1,860,140	1,944,189	2,039,651	2,137,854
Liabilities and Shareholders' Equity												
Accounts payable	61,277	56,342	91,622	111,422	117,409.90	91,983.19	101,944.58	108,116.06	115,248.57	119,575.83	125,279.38	130,290.56
Current maturities of long-term debt	2,286	2,216	8,322	2,264	4,820.63	4,914.03	6,635.33	2,698.40	4,202.88	5,036.50	5,996.08	5,639.11
Short-term lease liability - operating	-	18,896	19,994	21,985	25,178.39	23,049.98	25,546.20	27,092.70	28,880.03	29,964.40	31,393.65	32,649.39
Accrued compensation and related expenses	54,906	49,064	58,577	44,436	66,734.92	58,891.26	64,604.51	65,626.65	73,331.09	75,250.55	78,497.63	81,404.93
Accrued marketing expenses	12,979	12,361	20,019	15,881	23,027.85	22,075.81	24,466.52	26,565.47	27,042.22	28,395.63	29,750.05	30,940.05
Other accrued expenses	18,142	16,727	21,913	20,240	24,577.64	22,500.02	24,936.68	26,446.28	28,190.97	29,249.46	30,644.60	31,870.39
Total Current Liabilities	149,590	155,606	220,447	216,228	261,749	223,414	248,134	256,546	276,896	287,472	301,561	312,794
Long-term debt, less current maturities	689,205	594,921	513,450	506,732	505,244	497,543	497,129	491,545	490,540	480,540	470,540	460,540
Deferred income taxes	64,749	52,935	42,891	38,340	64,807.84	59,329.45	65,754.57	69,735.20	74,335.69	77,126.78	80,805.59	84,037.82
Long-term lease liability - operating	-	112,454	109,628	95,084	132,677.29	121,461.69	134,615.47	142,764.77	152,183.09	157,897.13	165,428.54	172,045.69
Other long-term liabilities	6,034	6,352	11,745	3,229	8,888.95	8,137.54	9,018.80	9,564.78	10,195.77	10,578.59	11,083.17	11,526.50
Total Liabilities	909,578	922,268	898,161	859,613	973,368	909,886	954,652	970,155	1,004,150	1,013,615	1,029,419	1,040,944
Equity	620,353	700,538	756,238	772,883	752,957	751,050	756,015	808,915	855,990	930,574	1,010,232	1,096,910
ROE	*13.49%*	*10.51%*	*8.09%*	*-3.85%*	*2.32%*	*1.30%*	*1.77%*	*6.60%*	*7.52%*	*9.63%*	*9.45%*	*9.18%*
Liabilities + Equity	1,529,931	1,622,806	1,654,399	1,632,496	1,726,325	1,660,936	1,710,667	1,779,070	1,860,140	1,944,189	2,039,651	2,137,854

Source: Company Filings, Team Consensus

Appendix

Figure 40: Statement of Cash Flows

	2019A	2020A	2021A	2022A	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E
Operating Activities												
Net Income					17,448.88	9,757.28	13,387.71	53,381.35	64,333.26	89,651.25	95,487.90	100,673.56
D&A					73,512.46	67,298.24	74,586.35	80,985.00	86,327.65	90,648.16	94,971.91	98,770.79
Less: Increase in operating lease asset					(36,264.42)	12,199.74	(14,308.00)	(12,561.81)	(10,488.68)	(8,482.00)	(8,488.38)	(7,457.94)
Less: Increase in Investments					-	-	-	-	-	-	-	-
Less: Increase in AR					(5,651.51)	13,746.11	(16,121.59)	(14,154.07)	(11,818.16)	(9,557.13)	(9,564.32)	(8,403.27)
Less: Increase in Inventory					(6,560.80)	61,500.68	(18,769.72)	(11,628.60)	(13,439.42)	(8,153.63)	(10,746.91)	(9,442.30)
Less: Increase in Income taxes receivable					-	-	-	-	-	-	-	-
Less: Increase in Prepaid expenses and other					6,531.52	1,232.53	(1,445.53)	(895.56)	(1,035.02)	(627.94)	(827.66)	(727.19)
Plus: Increase in Accounts Payable					5,987.90	(25,426.71)	9,961.39	6,171.48	7,132.51	4,327.26	5,703.55	5,011.18
Plus: Increase in Operating Lease Liability					40,786.67	(13,344.00)	15,650.00	9,695.80	11,205.65	6,798.41	8,960.66	7,872.89
Plus Increase in Accrued Compensation and Related Expenses					22,298.92	(7,843.66)	5,713.25	1,022.14	7,704.45	1,919.45	3,247.09	2,907.30
Plus: Increase in marketing and other accrued expenses					11,484.49	(3,029.66)	4,827.37	3,608.55	2,221.44	2,411.89	2,749.57	2,415.79
Change in Working Capital					74,877	26,835	(185)	(6,180)	1,971	(2,882)	(478)	(366)
Cash provided by operating activities					**129,574.11**	**116,090.55**	**73,481.24**	**115,624.28**	**142,143.68**	**168,935.72**	**181,493.41**	**191,620.80**
Investing Activities												
Capital expenditures					(73,512.46)	(67,298.24)	(74,586.35)	(69,415.71)	(73,995.13)	(77,698.42)	(81,404.50)	(84,660.68)
Investments in promotional displays					(3,980.41)	1,398.63	(1,640.33)	(1,440.14)	(1,202.47)	(972.41)	(973.14)	(855.01)
Cash provided by investing activites					**(77,492.87)**	**(65,899.61)**	**(76,226.68)**	**(70,855.85)**	**(75,197.60)**	**(78,670.83)**	**(82,377.64)**	**(85,515.69)**
Financing Activites												
Change in current maturities of LT debt					2,556.63	93.41	1,721.30	(3,936.93)	1,504.48	833.62	959.58	(356.97)
Payment of LT debt					(1,487.54)	(7,701.76)	(413.65)	(5,584.29)	(1,004.87)	(10,000.00)	(10,000.00)	(10,000.00)
Issuance of LT debt					-	-	-	-	-	-	-	-
Stock Buybacks					(25,000)	(25,000)	(25,000)	(25,000)	(35,000)	(35,000)	(35,000)	(35,000)
Cash provided by financing activites					**(26,487.54)**	**(32,701.76)**	**(25,413.65)**	**(30,584.29)**	**(36,004.87)**	**(45,000.00)**	**(45,000.00)**	**(45,000.00)**
Beginning Cash Balance					22,325	47,919	65,408	37,249	51,433	82,374	127,639	181,755
Change in Cash					25,593.70	17,489.18	(28,159.10)	14,184.14	30,941.21	45,264.89	54,115.77	61,105.11
Ending Cash Balance					47,918.70	65,407.89	37,248.79	51,432.93	82,374.15	127,639.04	181,754.81	242,859.93

Figure 41: Discounted Cash Flow Model – Base Case

($ in thousands)		2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E
Revenue		2,100,356	1,922,807	2,131,039	2,313,857	2,466,504	2,589,947	2,713,483	2,822,023
% Growth		13.09%	-8.45%	10.83%	8.58%	6.60%	5.00%	4.77%	4.00%
Operating Expenses		(2,047,954)	(1,880,603)	(2,084,264)	(2,216,793)	(2,355,637)	(2,447,632)	(2,564,380)	(2,666,955)
EBIT		**52,402**	**42,204**	**46,774**	**97,064**	**110,867**	**142,315**	**149,103**	**155,067**
% Margin		*2.49%*	*2.19%*	*2.19%*	*4.19%*	*4.49%*	*5.49%*	*5.49%*	*5.49%*
D&A		52,402	42,204	46,774	97,064	110,867	142,315	149,103	155,067
EBITDA		**104,804**	**84,407**	**93,548**	**194,128**	**221,734**	**284,630**	**298,206**	**310,135**
% Margin		*4.99%*	*4.39%*	*4.39%*	*8.39%*	*8.99%*	*10.99%*	*10.99%*	*10.99%*
NOPAT		**41,397**	**33,341**	**36,952**	**76,681**	**87,585**	**112,429**	**117,791**	**122,503**
Plus: D&A		52,402	42,204	46,774	97,064	110,867	142,315	149,103	155,067
Less: Capex		(73,512)	(67,298)	(74,586)	(69,416)	(73,995)	(77,698)	(81,404)	(84,661)
Less: Increase in NWC		(74,877)	(26,835)	185	6,180	(1,971)	2,882	478	366
Unlevered FCF		**(54,590)**	**(18,589)**	**9,324**	**110,509**	**122,485**	**179,927**	**185,968**	**193,275**
WACC	7.30%								
Discount Period		0.5	1.5	2.5	3.5	4.5	5.5	6.5	7.5
Discount Factor		0.97	0.90	0.84	0.78	0.73	0.68	0.63	0.59
PV of FCF		(52,701)	(16,725)	7,818	86,357	89,204	122,123	117,636	113,941

Figure 42: Income Statement Assumptions

IS Assumptions (% of revenue except growth)	2019A	2020A	2021A	2022A	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E
Revenue Growth		0.30%	5.68%	6.49%	13.09%	-8.45%	10.83%	8.58%	6.60%	5.00%	4.77%	4.00%
COGS	78.94%	80.21%	81.53%	87.81%	86.00%	86.00%	86.00%	84.00%	84.00%	83.00%	83.00%	83.00%
Gross Margin	21.06%	19.79%	18.47%	12.19%	14.00%	14.00%	14.00%	16.00%	16.00%	17.00%	17.00%	17.00%
G&A	6.86%	6.87%	6.45%	5.25%	6.36%	6.66%	6.66%	6.66%	6.36%	6.36%	6.36%	6.36%
S&M	5.46%	5.03%	5.10%	4.98%	5.15%	5.15%	5.15%	5.15%	5.15%	5.15%	5.15%	5.15%
Restructuring Charges	0.12%	0.00%	0.34%	0.01%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
EBIT Margin	8.61%	7.89%	6.58%	1.95%	2.49%	2.19%	2.19%	4.19%	4.49%	5.49%	5.49%	5.49%
Depreciation and Amortization	5.74%	5.97%	5.75%	5.20%	3.50%	3.50%	3.50%	3.50%	3.50%	3.50%	3.50%	3.50%
EBITDA Margin	14.35%	13.85%	12.33%	7.15%	10.37%	5.69%	5.69%	7.69%	7.99%	8.99%	8.99%	8.99%
Interest Rate	5.17%	4.88%	4.50%	2.01%	6.00%	6.00%	6.00%	6.00%	6.00%	6.00%	6.00%	6.00%
Pension Settlement, Net	-	-	-	3.69%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Other income (expense), net	0.29%	0.13%	0.63%	0.03%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Tax Rate	24.53%	25.55%	24.17%	-30.85%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%	21.00%

Source (all above figures): Company Filings, Team Consensus

Appendix

Figure 43: PP&E and Long Term Debt Schedules

PPE Investment Schedule

	2019A	2020A	2021A	2022A	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E
Beginning Balance		208,263	203,824	204,002	213,808	241,113	266,109	293,813	312,323	332,056	352,775	374,483
Capital Expenditures (net of sales of PP&E)		31,347	31,845	44,112	73,512.46	67,298.24	74,586.35	69,415.71	73,995.13	77,698.42	81,404.50	84,660.68
Capex as % of sales		1.90%	1.83%	2.38%	3.50%	3.50%	3.50%	3.00%	3.00%	3.00%	3.00%	3.00%
Depreciation		35,786	31,667	34,306	46,207.83	42,301.75	46,882.85	50,904.86	54,263.09	56,978.84	59,696.63	62,084.50
Depreciation as % of sales		2.17%	1.82%	1.85%	2.20%	2.20%	2.20%	2.20%	2.20%	2.20%	2.20%	2.20%
Ending Balance	208,263	203,824	204,002	213,808	241,113	266,109	293,813	312,323	332,056	352,775	374,483	397,059

Long term Debt Schedule

	2019A	2020A	2021A	2022A	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E
Beginning Balance		689,205	594,921	513,450	506,732	505,244	497,543	497,129	491,545	490,540	480,540	470,540
Issuance of debt		0	350,000	35,430	-	-	-	-	-	-	-	-
Payment of LT debt		94,284	431,471	42,148	1,488	7,702	414	5,584	1,005	10,000	10,000	10,000
Ending balance	689,205	594,921	513,450	506,732	505,244	497,543	497,129	491,545	490,540	480,540	470,540	460,540
Net Debt / EBITDA	*2.67*	*2.18*	*1.96*	*3.65*	*3.63*	*3.95*	*3.79*	*2.47*	*2.07*	*1.51*	*1.18*	*0.86*

Source: Company Filings, Team Consensus

Figure 44: Analyst Recommendations



Source: Bloomberg

Figure 45: Valuation Summary

	DCF	Trading Comps	Analyst Price Targets
Share Price Estimate	$59.20	$58.13	$56.67
Weighting	60%	20%	20%
Valuation Estimate	$58.48		
Current Stock Price	53.63		
Premium	9.04%		

Source: Bloomberg, Team Consensus

Appendix

Figure 46: Revenue Model

AMWD Scenario Analysis

Select Scenario: Base Case	2019A	2020A	2021A	2022A	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E
Revenue												
Home Center Retailers	$ 493.90	$ 788.80	$ 768.00	$ 848.90	$ 890.60	$ 952.94	$ 895.77	$ 985.34	$1,064.17	$1,128.02	$1,173.14	$1,231.80	$1,281.07
Building Products	$ 557.40	$ 631.50	$ 668.80	$ 673.30	$ 731.00	$ 855.27	$ 761.19	$ 837.31	$ 904.29	$ 958.55	$1,006.48	$1,046.74	$1,088.61
Dealers/Distributors	$ 199.00	$ 225.00	$ 213.50	$ 221.80	$ 235.60	$ 292.14	$ 265.85	$ 308.39	$ 345.39	$ 379.93	$ 410.33	$ 434.95	$ 452.35
Total	**$1,250.30**	**$1,645.30**	**$1,650.30**	**$1,744.00**	**$1,857.20**	**$2,100.36**	**$1,922.81**	**$2,131.04**	**$2,313.86**	**$2,466.50**	**$2,589.95**	**$2,713.48**	**$2,822.02**
Home Center Retailers		59.71%	-2.64%	10.53%	4.91%	7.00%	-6.00%	10.00%	8.00%	6.00%	4.00%	5.00%	4.00%
Building Products		13.29%	5.91%	0.67%	8.57%	17.00%	-11.00%	10.00%	8.00%	6.00%	5.00%	4.00%	4.00%
Dealers/Distributors		13.07%	-5.11%	3.89%	6.22%	24.00%	-9.00%	16.00%	12.00%	10.00%	8.00%	6.00%	4.00%
Total Annual Growth Rate		**31.59%**	**0.30%**	**5.68%**	**6.49%**	**13.09%**	**-8.45%**	**10.83%**	**8.58%**	**6.60%**	**5.00%**	**4.77%**	**4.00%**
Home Center Retailers												
Best Case						9.0%	-4.0%	12.0%	10.0%	8.0%	6.0%	7.0%	6.0%
Base Case		59.7%	-2.6%	10.5%	4.9%	7.0%	-6.0%	10.0%	8.0%	6.0%	4.0%	5.0%	4.0%
Weak Case						5.0%	-8.0%	8.0%	6.0%	4.0%	2.0%	3.0%	2.0%
Building Products												
Best Case						19.0%	-9.0%	12.0%	10.0%	8.0%	7.0%	6.0%	6.0%
Base Case		13.3%	5.9%	0.7%	8.6%	17.0%	-11.0%	10.0%	8.0%	6.0%	5.0%	4.0%	4.0%
Weak Case						15.0%	-13.0%	8.0%	6.0%	4.0%	3.0%	2.0%	2.0%
Dealers/Distributors												
Best Case						26.0%	-7.0%	18.0%	14.0%	12.0%	10.0%	8.0%	6.0%
Base Case		13.1%	-5.1%	3.9%	6.2%	24.0%	-9.0%	16.0%	12.0%	10.0%	8.0%	6.0%	4.0%
Weak Case						22.0%	-11.0%	14.0%	10.0%	8.0%	6.0%	4.0%	2.0%

Source: Company Filings, Team Consensus

Figure 47: Inflation Forecasts

Projected Annual Inflation Rate in the US from Statista	
Year	**Inflation Rate**
2018	2.44%
2019	1.81%
2020	1.25%
2021	4.69%
2022	7.68%
2023	2.86%
2024	2.26%
2025	2.00%
2026	1.97%
2027	2.00%

Source: Statista

Appendix

Relative Valuation

We choose the comparable companies based on product lines, whether having the customization option, and operation location and size. Based on the criteria, we choose 10 comparable companies with similar products and operations. This selection is confirmed with sources such as the proxy statement, Bloomberg, SeekingAlpha, etc.

Fortune Brands Innovation Fortune Brands Innovations (FBIN) is a brand, innovation and channel leader focused on exciting, supercharged growth opportunities within the home, security and commercial building markets.

Masterbrand Inc Masterbrand (MBC) was separated from Fortune Brands with focus on designing and manufacturing cabinets.

Griffon Corp Griffon Corporation (GFF) is a diversified management and holding company conducting business through wholly-owned subsidiaries, which include Adams Bros. Interiors & Cabinets, etc.

Millerknoll Inc Herman Miller (MLKN), officially MillerKnoll, Inc., is an American company that produces office furniture, equipment, and home furnishings, including the Aeron chair, Noguchi table, Marshmallow sofa, Mirra chair, and the Eames Lounge Chair.

Masonite International Corp Masonite International Corporation (DOOR) is a designer, manufacturer and distributor of interior and exterior doors for the new construction and repair, renovation and remodeling sectors of the residential and non-residential building construction markets.

Patrick Industries Inc (PATK) A leading component solutions provider for the recreational vehicle (RV), marine, manufactured housing and various industrial markets – including single and multi-family housing, hospitality, institutional and commercial markets.

Steelcase Inc Steelcase Inc. (SCS) is a global leader in office furniture, interior architecture and space solutions for offices, hospitals and classrooms.

Masco Corp Masco Corporation (MAS) is an American manufacturer of products for the home improvement and new home construction markets. Comprising more than 20 companies, the Masco conglomerate operates nearly 60 manufacturing facilities in the United States and over 20 in other parts of the world.

PGT Innovations Inc (PGTI) A residential windows and doors producer with main operation in Florida.

Jeld-Wen Holding Inc (JELD) Wood window and door manufacturing company.

Figure 48: Relative Valuation Table

			EV/EBITDA			EV/EBIT			P/E			EV/Net Sales			EV/Sales		
Name	**Market Cap ($mn**	**EV ($mn)**	**2021**	**2022**	**2023E**	**2021**	**2022**	**2023E**	**2021**	**2022**	**2023E**	**2021**	**2022**	**2023E**	**2021**	**2022**	**2023E**
American Woodmark Corp	*$869.32*	*$1,423.12*	*8.64*	*9.12*	*5.49*	*18.51*	*40.46*	*7.99*	*15.6*	*8.93*	*7.36*	*35.2*	*-49.2*	*10.6*	*1.18*	*0.79*	*0.62*
Products - Cabinets																	
Fortune Brands Innovations I	$8,031.35	$11,215.65	14.55	11.54	8	18.33	14.06	9.25	15.09	10.95	10.25	26.56	19.85	13.59	2.41	2	1.31
Masterbrand Inc	$1,131.06	$1,052.86	-	-	-	-	-	7.99	-	8.61	10.14	-	-	10.59	-	-	0.39
Griffon Corp	$2,253.47	$3,898.03	9.26	-44.3	7.93	14.19	-18.73	9.46	23.12	5.24	11.08	30.56	-18.5	17.97	1.07	1.24	1.2
Millerknoll Inc	$1,712.80	$3,546.50	8.19	12.15	6.86	13.08	97.62	11.5	6.8	15.49	11.81	17.42	-143	28.45	1.22	0.98	0.67
Average	**$3,282.17**	**$4,928.26**	**8**	**-5.15**	**7.60**	**11.4**	**23.24**	**9.55**	**11.25**	**10.07**	**10.82**	**18.64**	**-35.5**	**17.65**	**1.18**	**1.06**	**0.9**
Median	**$1,983.14**	**$3,722.27**	**8.73**	**5.77**	**7.93**	**13.63**	**7.03**	**9.36**	**10.95**	**9.78**	**10.66**	**21.99**	**-9.25**	**15.78**	**1.14**	**1.11**	**0.94**
Home Renovation & Construction																	
Masonite International Corp	$1,958.06	$2,761.64	12.46	8.42	5.35	23.77	13.77	7.03	13.84	10.78	8.95	49.54	31.95	10.85	1.52	1.16	0.84
Patrick Industries Inc	$1,538.18	$2,993.51	9.76	5.92	4.3	15.82	8.39	5.49	16.16	7.05	5.11	28.26	13.13	8.32	1.1	0.72	0.56
Steelcase Inc-Cl A	$830.45	$1,502.75	10.91	11.96	-	45.07	91.92	-	14.15	189.7	17.73	74.25	461.9	-	0.75	0.67	-
Masco Corp	$11,423.05	$14,764.05	11.26	10.41	9.6	12.83	11.88	10.55	24.63	16.67	13.51	13.57	40.71	16.13	2.31	1.99	1.68
Average	**$3,937.44**	**$5,505.49**	**11.1**	**9.18**	**4.82**	**24.37**	**31.49**	**7.69**	**17.2**	**56.05**	**11.33**	**41.41**	**136.9**	**11.77**	**1.42**	**1.14**	**0.77**
Median	**$1,748.12**	**$2,877.57**	**11.09**	**9.41**	**4.83**	**19.79**	**12.82**	**7.03**	**15.16**	**13.72**	**11.23**	**38.9**	**36.33**	**10.85**	**1.31**	**0.94**	**0.7**
Others																	
Pgt Innovations Inc	$1,234.75	$1,782.34	13.38	10.95	7	21.6	18.23	9.43	22.15	22.46	10.78	40.56	55.69	15.58	2.07	1.58	1.18
Jeld-Wen Holding Inc	$977.47	$2,785.03	10.5	7.61	5.91	21.12	13.16	12.6	10.71	6.19	6.99	43.52	20.84	56.66	0.94	0.74	0.48
Average	**$1,320.12**	**$2,481.65**	**11.94**	**9.28**	**6.46**	**21.36**	**15.69**	**11.01**	**16.43**	**14.33**	**8.88**	**42.04**	**38.26**	**36.12**	**1.51**	**1.16**	**0.83**
Median	**$1,234.75**	**$2,785.03**	**11.94**	**9.28**	**6.46**	**21.36**	**15.69**	**11.01**	**16.43**	**14.33**	**8.88**	**42.04**	**38.26**	**36.12**	**1.51**	**1.16**	**0.83**

Source: Bloomberg, Team Consensus

Appendix

Figure 49: ESG and Sustainability

Climate Risk and Opportunity Statement

Use Path to Sustainability 2030 as a roadmap for the future. AWMD has identified three factors generally influencing climate risk and opportunities for the company: physical hazards, the regulatory environment, and increased material costs. They monitor the changing landscape of regulations, technology available, and sourcing patterns to manage our business as it pertains to climate

Path to Sustainability

AMWD intend to evolve and enhance the program and reporting of progress during the Vision period. It includes targeted goals for reducing our greenhouse gas emissions, general energy efficiency, landfill avoidance, and responsible wood sourcing. Mainly, this program will consist of 3 areas of focus: Our Associates, Carbon Footprint, and The Planet.

Associates addresses company safety performance and sustainability training for our teammates.

- The 2030 goal is to reach and sustain a level of excellence in recordable OSHA incidents.
- To enhance our associates' efforts to support sustainability, both at work and at home, we will be training all associates in the company's Sustainability Vision, how they can help in their various roles, and what can be done as individuals to reduce our overall footprint in environmental issue

For **Carbon Footprint**, AWMD has set goals for reducing fossil fuels and the greenhouse gases they generate in our operations.

- Plan to introduce the use of hybrid and electric vehicles in our service and sales functions.
- AWMD intends to increase our use of Smartway-approved carriers to reduce fossil fuel used in the movement of our products

Sustainable Forest and Waste Elimination goals address our impact to **the Planet**.

Environmental Stewardship Policy

In December 2021, the President and CEO of the Company signed the environmental Stewardship Policy. This policy reflects commitment to conducting business in a manner that supports the sustainability of the environment, by implementing and participating in programs that safeguard the health and safety of our people and by showing respect for the environment in which we live and work.

Environmental Management Systems

AMWD has established Corporate Environmental, Health, and Safety management systems with the goal of ensuring compliance with all applicable local, state, and federal environmental and safety laws and regulations

American Woodmark's Hardwood Lumber Sourcing Policy

AMWD works with hardwood lumber suppliers to ensure the use of responsible timbering and land management. AMWD also relies on studies developed by the US Forestry Management to procure hardwood from regions where the volume of board feet of standing timber is increasing. Additionally, AMWD is aware of the endangered wood species globally every year, and carefully select the wood specie to avoid using endangered wood. AMWD made explicit claim that they "do not purchase any lumber species identified as endangered by the World Conservation Monitoring Center".

American Woodmark Corporation Human Rights Policy addresses the Company's Vision, Mission, and Values, Purposes, and Human Rights Principles.

American Woodmark Corporation Supplier Code of Conduct addresses on supplier selection and principles.

Source: American Woodmark Website

Appendix

Figure 50: Board of Directors and Governance Information

Name	Position	Age	Member Since	# of Shares	Independent	Professional Competencies	Work Experience
Martha M. Hayes	Member	71	1995	45,130	YES	- Marketing - Business development - Customer relationship - Provide the Board with important perspective on customer issues and opportunities	- Retired from her role as Vice President Customer Development, Sara Lee Corporation in 2006
James G. Davis, Jr.	Member	63	2002	23,543	YES	- Construction industry - Leadership roles in operations	- President and CEO of James G. Davis Construction Corporation from 1979 to present - Director of Provident Bankshares Corporation from 2006 to 2008
Daniel T. Hendrix	Member	67	2005	6,640	YES	- 30+ years career in the building products industry - Leadership roles in finance and operations	- Chairman of Interface, Inc from 2011 to present - President and CEO from 2020 to present and 2001 to 2017 - Director of Interface, Inc from 1996 to preset
Andrew B. Cogan	Member	59	2009	7,982	YES	- 25+ years career in the manufacturing industry - Leadership roles in design and marketing	- Chairman and CEO of Knoll, Inc from 2018 to present - CEO of Knoll from 2001 to 2016 - Director of Knoll from 1996 to present - Director of Interface from 2013 to 2020
Vance W. Tang	f the Board of D	55	2009	46,304	YES	- Provide leadership and strategy consulting as President of VanTegrity Consulting to a wide range of clients - 25+ year career in industry with leadership roles in operations	- Non-Executive Chair of the Board of Directors since 2020 - Lead Independent Director from 2019-2020 - President and CEO of the US subsidiary of KONE Corporation and Executive Vice President of KONE from 2007 to 2012 - Director of Comfort Systems USA from 2012 to present
M. Scott Culbreth	CEO, Presiden	51	2020	19,031	NO	- 20+ years career in manufacturing industry with leadership roles in finance - AMWD's CEO and former CFO	- CEO and President of the AMWD since 2020 - AMWD SVP and CFO since 2014 to 2020
David A. Rodriguez	Member	63	2020	1,592	YES	- 20+ years career in the hospitality industry with leadership roles in human resources	- EVP and Global Chief HR Officer of Marriott International from 2006 to present - Director, HR Policy Association from 2008 to present - Director, American Health Policy Institute from 2017 to 2019
Emily C. Videtto	Member	40	2021	-	YES	- Experience in the consumer durables space - Marketing, digital and innovation	- VP and CMO of Pella Corporation from 2016 to present - Director Window and Door Manufacturers Association from 2018 to present
Latasha M. Akoma	Member	51	2022	100	YES	- Experiences in operations and manufacturing	- Operating Partner and Chief Compliance Officer at GENNX360 from 2014 to present

^ All shares combined indicates less than 1%
Source: SEC Proxy Statement

Name	AC	CC	GC
Martha M. Hayes		Chair	Member
James G. Davis, Jr.	Member, Financial Expert		Chair
Daniel T. Hendrix	Chair, Financial Expert		
Andrew B. Cogan	Member. Financial Expert		
Vance W. Tang		Member	Member
M. Scott Culbreth			
David A. Rodriguez		Member	Member
Emily C. Videtto	Member		
Latasha M. Akoma	Member		

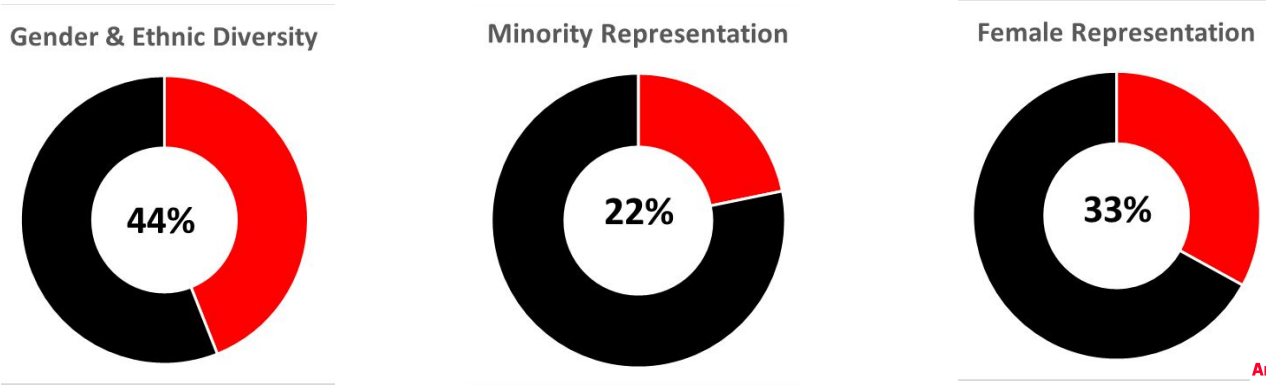
Committee Membership

AC = Audit Committee

CC = Compensation and Social Principles Committee

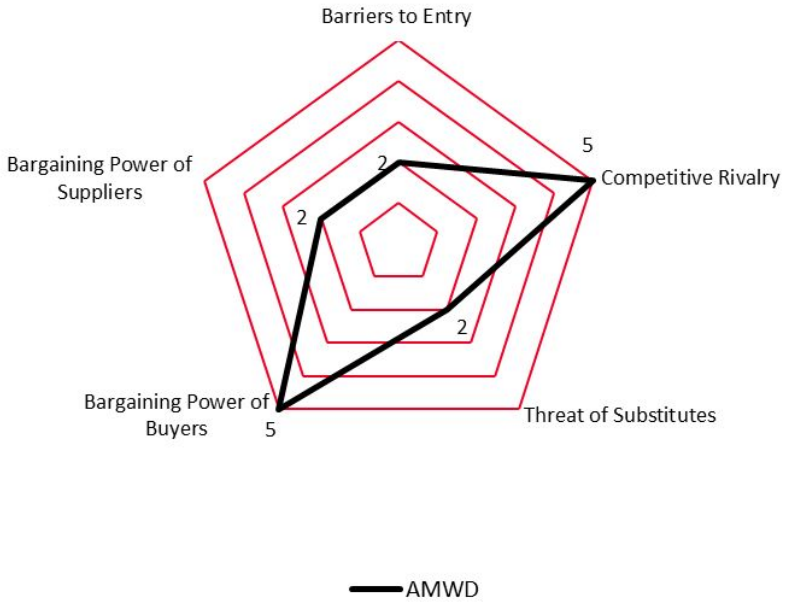
GC = Governance, Sustainability and Nominating Committee

Source: SEC Proxy Statement



Appendix

Figure 51: Porter's 5 Forces Ratings



Source: Team Consensus

*Score of 1-5, with 1 being the lowest threat, and 5 representing the largest threat